

taking the simple path with your investments. The 4% Rule relies on making assumptions about investment returns, interest rates, and inflation. These factors are unpredictable and out of your control. This makes the simple path complex and can be scary for those preparing to take the leap from a regular income to living off investments.

In contrast, real estate math becomes much simpler as you approach FI. Here is Carson's method for planning the transition from living off earned income to living off income produced by a real estate portfolio:

- Start with your number. What kind of budget would it take to be financially independent? How much income would it take to cover your family's expenses and provide the lifestyle you desire without needing to earn an income any longer?
- Once you have that number, the goal is to acquire enough real estate to produce this amount in a low risk, passive way. Carson favors having free and clear rental properties to provide this income with minimal risk, effort, and hassle. From there you simply develop a plan to achieve the minimal number of properties it takes to produce the income you need.